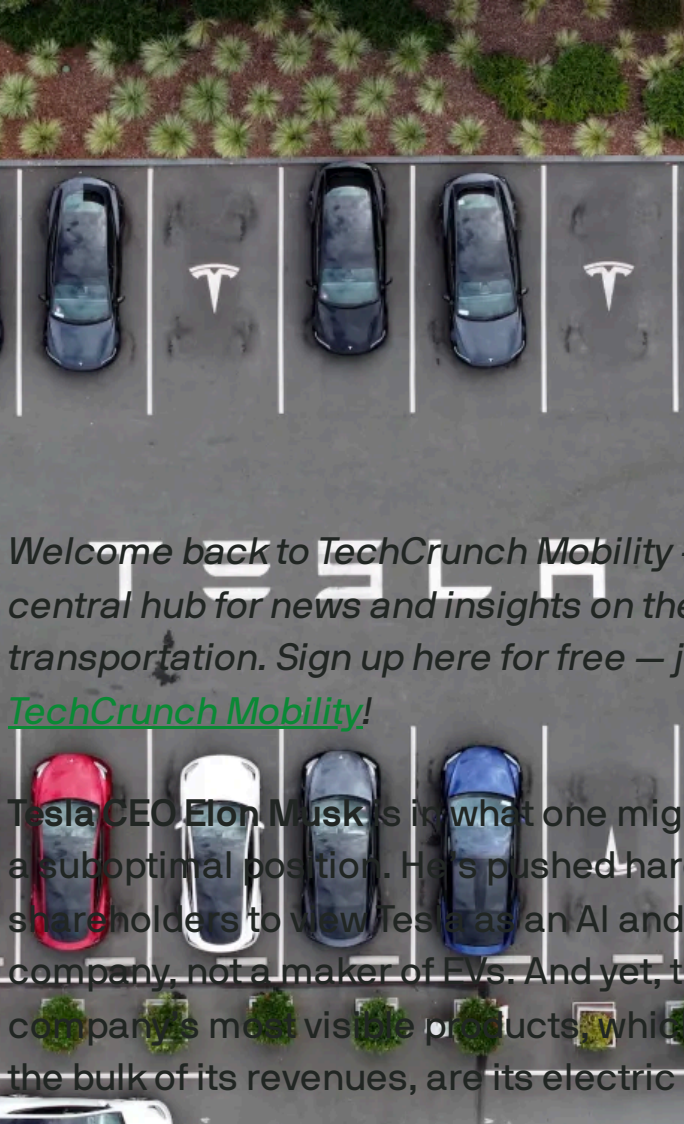


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TRANSPORTATION



TechCrunch Mobility: Tesla's ride-hailing gambit



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Tesla CEO Elon Musk is in what one might describe as a suboptimal position. He's pushed hard to get shareholders to view Tesla as an AI and robotics company, not a maker of EVs. And yet, the company's most visible products, which generate the bulk of its revenues, are its electric cars.

Yes, Tesla EVs are advanced, particularly when it comes to its underlying vehicle architecture and software. And its driver-assistance system known as Full Self-Driving Supervised, which can be used on highways and city streets and requires hands on the wheel and the driver to be ready to take over, is considered among the most capable on the market today. But to Musk, the ultimate illustration of an AI and robotics company is self-driving cars and humanoid robots. And today, neither of them exist at any scale.

Tesla's first notable step toward that goal was in June when it launched a limited robotaxi service in Austin, Texas. Those Robotaxi-branded vehicles, which invited customers can hail via an app, have a Tesla employee sitting in the front passenger seat. But it's still far from Musk's original vision of a "general solution" that would allow a Tesla owner to

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earn money by renting out their vehicle as a robotaxi service.

The clock is ticking and Musk needs to show more progress — or at the very least tease upcoming launches to keep antsy shareholders content. Which is perhaps why Tesla is embarking on this ride-hailing gambit in California.

Earlier this month, Musk noted that Tesla would be launching a robotaxi service in the Bay Area [“in a month or two”](#) — regulatory approvals being the primary hang-up.

The problem? Tesla hasn’t even applied for the permits that would allow it to operate a robotaxi service. I checked Friday morning with the California DMV, which regulates driverless testing, and Tesla has not yet applied for the necessary permits. (A spokesperson did tell me the DMV met with Tesla to discuss the company’s plans to test autonomous vehicles in the state.)

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So, instead Tesla has launched a ride-hailing service in the Bay Area. And yeah, users keep calling these robotaxis.

To be clear, while folks — including Musk’s brother and Tesla board member Kimbal Musk — [may refer to these as robotaxis](#), they are not driving autonomously. (And if they are, it would be a violation of current regulations.) Again, Tesla does not currently have the permits to do anything beyond pay its own employees to use its fleet of EVs to drive people around the Bay Area. No autonomous driving in any way, shape, or form. You can read a [recent explainer here](#) that will take you through all of the various permits Tesla needs.

This ride-hailing launch has many folks wondering, what gives? My answer: optics.

A little bird



IMAGE CREDITS: BRYCE DURBIN

Recent chatter among some little birds suggests that the **National Automobile Dealers Association** is focusing its efforts on VW Group spinout **Scout** and the EV company’s plans for direct sales. The dealership industry group has opposed the direct sales model before. But unlike direct-sales adopters Tesla, Rivian, and Lucid, Scout is attached to a legacy automaker with a long-established dealer network.

Got a tip for us? Email Kirsten Korosec at kirsten.korosec@techcrunch.com or my Signal at kkorosec.07, Sean O’Kane

at sean.okane@techcrunch.com or Rebecca Bellan at rebecca.bellan@techcrunch.com.

Deals!



IMAGE CREDITS: BRYCE DURBIN

Think back to the fall of 2023. Logistics company Flexport had captured the attention of Silicon Valley, in part because of founder Ryan Petersen’s fallout with [ousted CEO Dave Clark](#) and because of its [acquisition of Convoy](#), the former freight tech unicorn that had just shut down.

Here’s an update. Flexport has now [sold the Convoy platform](#) to **DAT Freight & Analytics**. The terms were undisclosed, although the company said it had delivered a “massive return on investment for Flexport.” Reporting from Axios’ Dan Primack suggests that, yes, indeed “massive return” is an appropriate description.

Flexport never disclosed exactly what it had paid for Convoy’s tech, although reporting at the time put the figure at \$16 million — a fraction of the unicorn’s previous valuation of \$3.8 billion. Primack reported this week that Flexport sold the Convoy platform [for \\$250 million](#).

Other deals that got my attention this week ...

AIR, an Israel-based startup developing eVTOLs, [raised \\$23 million](#) in a Series A funding round led by Entrée Capital, with participation from existing backer Dr. Shmuel Harlap, an early investor in Mobileye.

LG Innotek, the components and materials subsidiary of South Korea's LG Group, is [investing up to \\$50 million](#) in Aeva, acquiring an equity stake of about 6% in the U.S. lidar company. The investment is part of a broader manufacturing partnership between the two companies and marks Aeva's push into consumer electronics, robotics, and industrial automation.

Notable reads and other tidbits

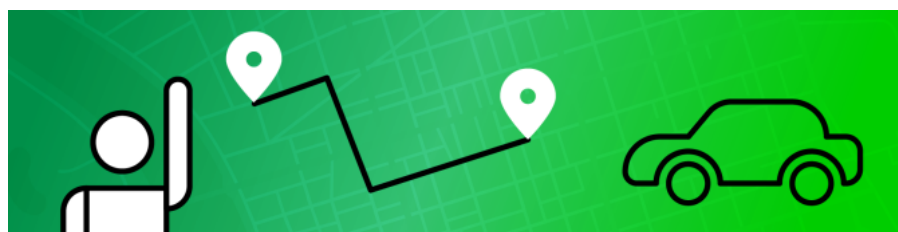


IMAGE CREDITS: BRYCE DURBIN

Aurora shared some notable progress in its Q2 earnings report. The autonomous vehicle tech company has three self-driving trucks operating commercially between Dallas and Houston, logging more than 20,000 driverless miles by the end of June. It is piloting driverless trucks on a 15-hour route from its terminal in Fort Worth, Texas, to a new terminal in Phoenix and is operating at night. CEO Chris Urmson told me what is [next on his list](#).

Elon Musk's tunnel-digging company **The Boring Company** plans to [build a 10-mile "loop"](#) that will connect Nashville's downtown and its convention center and airport. Important side notes: This will be funded by The Boring Company and its private partners, which are not named. And this is the start of a public process to evaluate routes, which means work won't be starting right away.

Ford plans to reveal more information about its upcoming low-cost electric vehicles at an event in Kentucky on August 11. And, as senior reporter Sean O'Kane notes, the company is [talking a very big game](#).

Joby Aviation has signed an agreement with defense contractor **L3Harris Technologies** to “explore opportunities” to [develop a new aircraft class](#) — specifically, a gas-turbine hybrid vertical take-off and landing (VTOL) aircraft that can fly autonomously — for defense applications. The gas-turbine hybrid VTOL will be based on Joby’s current S4 aircraft platform. This isn’t a contract, per se. But it does mark progress in Joby’s bid to go to market in the defense and consumer sectors.

While **Uber** continues to partner with every autonomous vehicle company under the sun, **Lyft** is trying to make its own deals. Lyft said it will [add autonomous shuttles](#) made by Austrian manufacturer **Benteler Group** to its network in late 2026. The shuttles will be deployed in partnership with U.S. cities and airports.

Waymo plans to [launch a robotaxi service](#) next year in Dallas, and this time it is partnering with **Avis Budget Group** to manage its fleet of autonomous vehicles. In other Waymo happenings, two of its robotaxis crashed into each other at one of the company’s staging lots in Phoenix this week, proving that the company’s rapid expansion into new cities does not mean it has ironed out all the kinks. Waymo says it’s investigating the cause.

Chinese AV company **WeRide** received an autonomous driving permit from Saudi Arabia. The company holds similar permits in China, the UAE, Singapore, France, and the United States.

One last thing



IMAGE CREDITS:SLAVA BLAZER PHOTOGRAPHY

[Waymo](#) co-CEO Takedra Mawakana will join the [Disrupt Stage](#) for a wide-ranging conversation on the current state of AVs — and where the industry goes from here. [TechCrunch Disrupt 2025](#) will be held October 27–29 at Moscone West in San Francisco.

Topics: [Elon Musk](#) [Joby Aviation](#) [techcrunch mobility](#)

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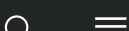
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Elon Musk says he'll unveil a Tesla robotaxi on August 8

Kirsten Korosec — 2:32 PM PDT · April 5, 2024

IMAGE CREDITS: CHRIS CARLSON / AP

Just hours after [Elon Musk claimed Reuters](#) was “lying” about Tesla’s plans to ditch its \$25,000 low-cost EV and instead focus all its efforts on a robotaxi, the Tesla CEO announced on X that he would reveal said robotaxi in an event on August 8.

The announcement comes as Tesla EV [sales have lagged](#) and profits have fallen, leaving the company and its CEO on a search for another product to boost sales — or at least the stock price.

Earlier Friday, a Reuters report citing three anonymous sources and internal documents said that Tesla was abandoning its plan to build a lower-



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cost EV and would instead focus resources on a planned robotaxi that is being built on the same small EV platform that was also supposed to power the lower-cost vehicle.

Musk took to X, the social network he owns, and claimed without proof, that Reuters was “lying.” He did not dispute any specific details.

Hours later, Musk posted on X that a “Tesla Robotaxi” will be unveiled August 8.

Tesla Robotaxi unveil on 8/8

— Elon Musk (@elonmusk) [April 5, 2024](#)



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Reports have swirled for years that Tesla was working on these two vehicles. But Musk has wavered on whether to prioritize a typical car or one with no steering wheel or pedals, despite not having yet produced a fully autonomous car, according to descriptions in Walter Isaacson’s biography of Musk.

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The CEO pushed back in mid-2022 against his engineers' insistence on referencing a car with a steering wheel and pedals. And even as he pressed ahead, lead designer Franz von Holzhausen and engineering VP Lars Moravy kept the more traditional car version alive as a “shadow project,” Isaacson wrote at the time.

Musk has been promising autonomous capabilities in Tesla vehicles for years. In 2016, he said [Tesla would drive itself cross-country by the end of 2017](#) (it didn't happen). In 2019, he promised to launch the company's first robotaxis as part of a broader vision for an autonomous [ride-sharing network in 2020](#) (that also did not happen). A few years later, he said a dedicated robotaxi with no steering wheel or pedals would come to market [by 2024](#).

Tesla vehicles come standard with a driver-assistance system branded as Autopilot. For an additional \$12,000, owners can buy “full self-driving,” or FSD — a feature that CEO [Elon Musk](#) has promised for years will one day deliver full autonomous driving capabilities. Tesla vehicles [are not self-driving](#). Instead, FSD includes a number of automated driving features that still require the driver to be ready to take control at all times, including the parking feature Summon, as well as Navigate on Autopilot, an active guidance system that navigates a car from a highway on-ramp to off-ramp, including interchanges and making lane changes. The system is also supposed to handle steering on city streets.

Topics: [Elon Musk](#) [EVs](#) [robotaxis](#) [Tesla](#)

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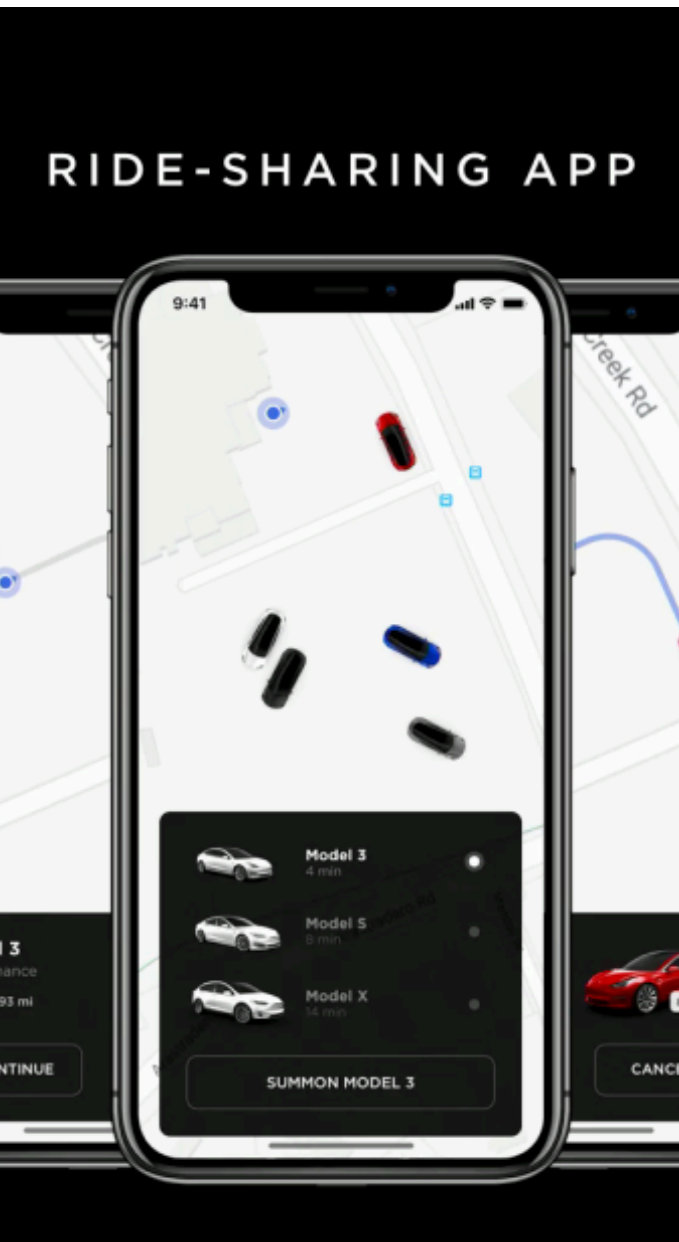


IMAGE CREDITS:

SCREENSHOT OF TESLA PRESENTATION



Tesla plans to launch a robotaxi network in 2020

Kirsten Korosec — 2:38 PM PDT · April 22, 2019

Tesla expects to launch the first robotaxis as part of broader vision for an autonomous ride-sharing network in 2020, CEO Elon Musk said during the company's Autonomy Day.

Latest in Transportation

"I feel very confident predicting that there will be autonomous robotaxis from Tesla next year — not in all jurisdictions because we won't have regulatory approval everywhere" Musk said without detailing what regulations he was referring to. He added that he is confident the company will have regulatory approval somewhere next year.

Tesla will enable owners to add their properly equipped vehicles to its own ride-sharing app, which will have a similar business model to Uber or Airbnb. Tesla will take 25 percent to 30 percent of the revenue from those rides, Musk said. In places where there aren't enough people to share their cars, Tesla would provide a dedicated fleet of robotaxis.

Musk has talked about the Tesla Network and ambitions to allow owners to place their vehicles on the ride-hailing app since 2016.

All new Tesla vehicles are now produced with its custom full self-driving computer chip, a detail that Musk revealed during the event Monday. That chip fulfills the hardware requirements for full self-driving, according to Musk, who boasted that it was the [best in the world](#). (Tesla vehicles are equipped with a suite of sensors such as forward-facing radar and cameras. It does not have lidar, or light detection and ranging radar, a sensor that most AV developers say is critical, but that Musk argues is a [fool's errand and "doomed."](#))

The remaining step is the software, which Musk says will be "feature complete" and at a reliability level that we would consider that no one needs to pay attention, by the middle of next year.

"From our standpoint, if you fast forward a year, maybe a year and three months, but next year for sure, we'll have over a million robotaxis on the

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road,” Musk said. “The fleet wakes up with an over the air update; that’s all it takes.”



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Musk also noted at numerous times that the full self-driving and the robotaxi fleet will require regulatory approval. However, he didn’t explain what kinds of regulatory approval is needed. The federal government does not have any laws regulating autonomous vehicles. There are only voluntary guidelines. And if the vehicles are not altered in any way on the hardware side — such as removing the steering wheel or pedals, for instance — it’s unclear how the federal government could limit Tesla.

Musk could be referring to local and state laws that regulate ride-hailing networks. Again, it’s unclear and we’ll update the story if Tesla provides new information.

Recharging the Tesla robotaxis is one of few challenges that the company will face as it prepares to deploy.

Musk noted that he sees a future where the robotaxis would return home and automatically park and recharge. While he stopped short of confirming a production version of the snake charger Tesla unveiled in 2015, it was clear that Tesla sees a similar version coming to market alongside the robotaxi network.

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